BUSFIN 8200 – Problem Set 2

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Question 1

Question 2

2 (a)

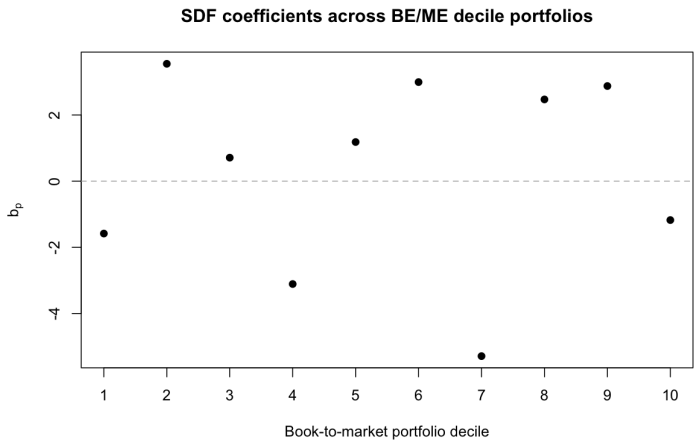
Using the normalization $\mathbb{E}[M^*] = 1$, we find the stochastic discount factor $M_t^* = a - b'xR_t$ that satisfies $\hat{\mathbb{E}}[M^* \cdot xR] = 0$. In particular, we have:

$$\begin{aligned} 0 &= \mathbb{E}[M^* \cdot xR] \\ &= \underbrace{\mathbb{E}[M^*]}_{=1} \cdot \mathbb{E}[xR] + \text{Cov}(M^*, xR) \\ &= \mathbb{E}[xR] - b'\text{Cov}(xR, xR) \\ &\implies \mathbb{E}[xR] = b'\Sigma \\ &\implies b = \Sigma^{-1}\mathbb{E}[xR] \end{aligned}$$

xR is a Tx10 vector of excess returns with T = 1,202 months in the sample from July 1926 to August 2026. Verifying that Σ is invertible, we find that:

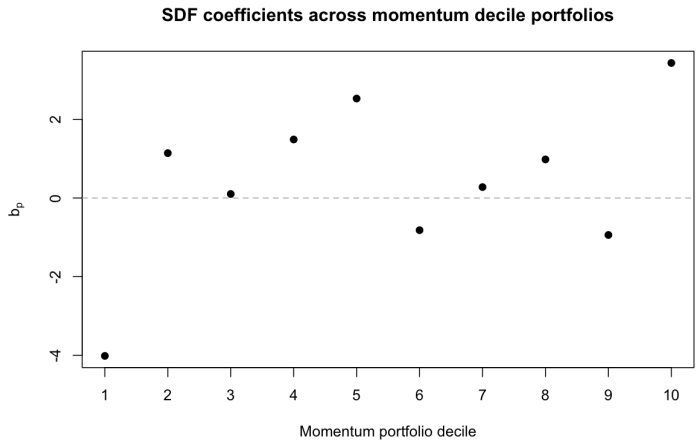
$$\begin{aligned} 1 &= \mathbb{E}[M^*] \\ &= \mathbb{E}[a - b'xR] \\ &= a - b'\mathbb{E}[xR] \\ &\implies a = 1 + b'\mathbb{E}[xR] \end{aligned}$$

Therefore, we are able to compute the stochastic discount factor $M_t^* = a - b'xR_t$ for each month in the sample and obtain the following scatterplot:



2 (b)

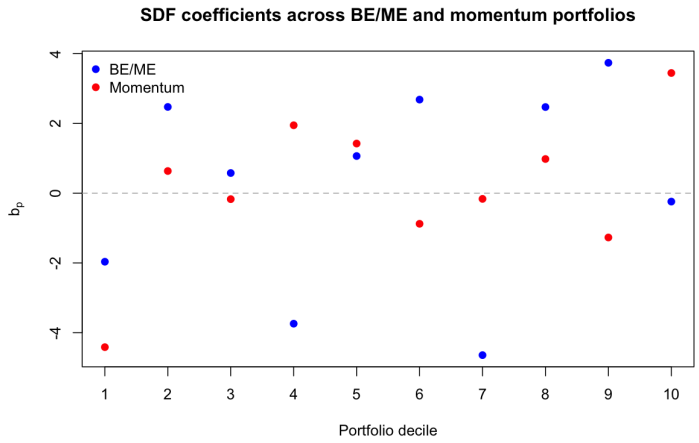
Following the same procedure as in part (a), we find the respective b coefficients of the stochastic discount factor that prices the excess returns of the 10 portfolios in the MOM dataset as follows:



Similar to part (a), we do not observe any clear pattern between the b coefficients and the decile portfolios' excess returns. The correlation between the recovered M_t^* is 0.3555, which suggests that the SDF that prices a particular portfolio does not necessarily price the other one as the decile portfolios are sorted using different signals.

2 (c)

Following the same procedure as in part (a), we find the respective b coefficients of the stochastic discount factor that prices the excess returns of the 20 portfolios in the BM & MOM datasets as follows:



Using a common sample of 1,196 months from July 1927 to August 2026, we estimated the Sharpe ratios of xR_t^* as follows:

Table 1: Monthly Sharpe Ratios of the xR^* Portfolios

Portfolio set	Monthly Sharpe ratio
BE/ME (10 portfolios)	0.191841
Momentum (10 portfolios)	0.257990
Combined (20 portfolios)	0.304398

A key property of the SDF under no arbitrage is that xR_t^* is the maximum Sharpe ratio portfolio. Since we observed that the Sharpe ratio of the combined 20 portfolios is higher than the Sharpe ratios of the individual 10 portfolios, adding more non-redundant assets to the portfolio universe provides a more diversified portfolio with better risk-adjusted returns and higher volatility, which is consistent with the theory of SDF and maximum Sharpe ratio portfolios.

2 (d)

Having estimated the SDFs $M_t^* = \hat{a} - \hat{b}' xR_t$ from part (a),(b), and (c) and normalizing $\mathbb{E}[M^*] = 1$, we estimate the pricing errors for each decile portfolio p as follows:

$$\hat{\alpha}_p = \widehat{\mathbb{E}}[xR_p] + \widehat{\mathrm{Cov}}(M^*, xR_p).$$

Table 2: Pricing Errors Under the Three Estimated SDFs

Portfolio	BE/ME SDF	Momentum SDF	Combined SDF
BE/ME D1	0.000005	-0.001505	0.000005
BE/ME D2	0.000006	-0.000095	0.000006
BE/ME D3	0.000006	-0.000217	0.000006
BE/ME D4	0.000006	-0.000772	0.000006
BE/ME D5	0.000006	0.000509	0.000006
BE/ME D6	0.000007	0.001267	0.000007
BE/ME D7	0.000006	0.000287	0.000006
BE/ME D8	0.000008	0.002382	0.000008
BE/ME D9	0.000009	0.003456	0.000009
BE/ME D10	0.000009	0.003204	0.000009
Momentum D1	-0.010147	0.000001	0.000001
Momentum D2	-0.005043	0.000004	0.000004
Momentum D3	-0.003265	0.000004	0.000004
Momentum D4	-0.001482	0.000005	0.000005
Momentum D5	-0.000875	0.000006	0.000006
Momentum D6	-0.000257	0.000006	0.000006
Momentum D7	0.000515	0.000006	0.000006
Momentum D8	0.001908	0.000007	0.000007
Momentum D9	0.002246	0.000008	0.000008
Momentum D10	0.005424	0.000010	0.000010

We observe that the SDF constructed using the BE/ME portfolios prices the BE/ME portfolios well with small pricing errors, but not the MOM portfolios, and vice versa. The SDF based on the combined 20 portfolios prices all 20 portfolios well, which is consistent with the notion that the selection of the asset universe matters in the pricing power of the SDF.

2 (e)

Repeating the same procedure as in part (c) but restricting the sample to December 1989, I re-estimate $\hat{a}_{OS} = 1.12459$ and corresponding $\hat{b}_{OS}$ coefficients for the SDF that prices the 20 portfolios in the BM & MOM datasets. Then, using out-of-sample xR_t from January 1990 to August 2026, I construct $M^*_{OS,t} = \hat{a}_{OS} - \hat{b}'_{OS} xR_t$ and obtain the following pricing errors:

Table 3: Out-of-Sample Pricing Errors

Portfolio	OS pricing error
BE/ME D1	0.010968
BE/ME D2	0.007859
BE/ME D3	0.009001
BE/ME D4	0.006958
BE/ME D5	0.007985
BE/ME D6	0.007179
BE/ME D7	0.006975
BE/ME D8	0.005926
BE/ME D9	0.008271
BE/ME D10	0.009709
Momentum D1	0.027023
Momentum D2	0.016469
Momentum D3	0.013896
Momentum D4	0.012071
Momentum D5	0.009178
Momentum D6	0.008297
Momentum D7	0.007601
Momentum D8	0.006446
Momentum D9	0.004326
Momentum D10	0.005462

Contrary to the in-sample results, the out-of-sample pricing errors are much larger, even for the combined SDF, which suggests the possibility of time-varying a and b coefficients in the SDF.

Question 3

3 (a)

Consider a representative investor with wealth W_t in a two-period economy. Let $R_{f,t}$ be a baseline asset. We solve the following optimization problem:

$$\varpi^*_t = \arg\max_{\varpi_t} \mathbb{E}_t[U(W_{t+1})]\,,$$
$$\text{s.t.} \quad W_{t+1} = W_t \cdot R_{w,t+1} = W_t \cdot (R_{f,t+1} + \varpi'_t xR_{t+1}),$$

where xR_{t+1} is the vector of asset excess returns relative to $R_{f,t}$.
Using the power utility function

$$U(W) = \frac{W^{1-\gamma}}{1-\gamma},$$

where γ is CRRA, we rewrite the problem as

$$\varpi^*_t = \arg\max_{\varpi_t} \mathbb{E}_t \left[\frac{(W_t \cdot (R_{f,t+1} + \varpi'_t xR_{t+1}))^{1-\gamma}}{1-\gamma} \right].$$

Thus, the first-order condition of the maximization problem is

$$\begin{aligned}
\mathbb{E}_t\left[\frac{(1-\gamma)[W_t \cdot (R_{f,t+1} + \varpi_t' x R_{t+1})]^{-\gamma} \cdot x R_{t+1}}{1-\gamma}\right] &= 0 \\
\implies \mathbb{E}_t\Big[\big(R_{f,t+1} + \varpi_t' x R_{t+1}\big)^{-\gamma} \cdot x R_{t+1}\Big] &= 0 \\
\implies \mathbb{E}_t\Big[R_{m,t+1}^{-\gamma} \cdot x R_{t+1}\Big] &= 0.
\end{aligned}$$

As a result, the SDF $M_t = R_{m,t+1}^{-\gamma}$ prices the vector of excess returns.

3 (b)

3 (c)

3 (d)

3 (e)

Question 4

4 (a)

4 (b)

4 (c)

4 (d)

4 (e)